



Guidelines for Operation of Member Margin Cash

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CHAPTER I. GENERAL PROVISIONS

§1. Purpose

The purpose of this Guideline is to stipulate the matters necessary for managing the cash deposited by the members with the Korea Exchange as a member margin in accordance with [§41] of the Enforcement Rules of the Securities Market Clearing and Settlement Business Regulation, [§102-2] of the Enforcement Rules of the Derivatives Market Business Regulation, and [§58] of the Enforcement Rules of the OTC Derivatives Clearing Business Regulation. (Amended on February 27, 2025)

§2. Definitions

(1) The terms used in this Guideline shall have the meanings as follows:

1. The term “member” refers to the clearing member pursuant to [§3(2)1] of the Membership Regulation and the clearing member pursuant to [§2(1)3] of the OTC Derivatives Clearing Business Regulation.
2. The term “margin” in this Guideline refers to member margins pursuant to [§27(1)] of the Securities Market Clearing and Settlement Business Regulation, Market Business Regulation and [§88(1)] of the Derivatives Market Business Regulation, and the member margin pursuant to [§81(1)] of the OTC Derivatives Clearing Business Regulation.
3. The term “margin cash” in this Guideline refers to cash (including foreign currencies) deposited by the members with the Korea Exchange (hereinafter referred to as “the Exchange”) as a margin noted in subparagraph 2.
4. The term “settlement bank” in this Guideline refers to a bank that opened an account in the name of the Exchange to receive the margin deposits pursuant to [§29(1)] of the Securities Market Clearing and Settlement Business Regulation and [§91(1)] of the Derivatives Market Business Regulation, and [§85(1)] of the OTC Derivatives Clearing Business Regulation.
5. The term “general operation” refers to the operation of margin cash by the department (hereinafter referred to as “management department”) that conducts the clearing and settlement business of the Exchange.
6. The term “special operation” refers to the operation of margin cash by the department (hereinafter referred to as “operation department”) that conducts the financial and accounting business of the Exchange.
7. The term “CCP risk management department” refers to the department that is in charge of the business of CCP risk management and responsible for the matters concerning the suspension of special operation, etc.

(2) In addition, the definitions of terms used in this guideline shall, except in cases where specially provided in this Guideline, follow as stipulated in the Financial Investment Services and Capital Markets Act (hereinafter referred to as “the Act”) and the business-related regulations of the Exchange.

CHAPTER II. OPERATION OF MARGIN CASH

Section 1. General Provisions

§3. Principles of Operation

(1) The Exchange shall operate the margin cash separately from the properties of the Exchange and the Joint Compensation Fund prescribed in the Articles 323-14 and 394 of the Act.

(2) The margin cash shall be managed by general and special operation methods for each currency according to the classification of each of the following subparagraphs:

1. Securities market member margin cash
2. Derivatives market member margin cash; and
3. OTC derivatives member margin cash.

(3) The margin cash shall be managed in a way to secure the cashability and liquidity while considering profitability.

(4) In the case of operating the margin cash by depositing with a bank or a securities finance company (hereinafter referred to as “deposit operation”), the amount deposited with a single settlement bank or securities finance company shall not exceed 50 percent of the total amount for deposit operation. However, this is not the case where the OTC derivatives member margin cash noted in paragraph (2)3 is no more than KRW 50 billion for consecutive twenty (20) trading days.

§4. Margin Operation Consultative Council

(1) The management department shall establish the Margin Operation Consultative Council (hereinafter referred to as “the Council”) to secure objectivity and transparency of margin cash management and to collect member opinions.

(2) The Council shall be composed of the following members:

1. One (1) head of the management department;
2. One (1) team leader in charge of the financial and accounting business; and
3. No more than six (6) persons appointed by the President of the Clearing and Settlement Division (hereinafter referred to as “President”) among officers and employees responsible for the margin deposit or financing-related business of members. In such case, at least one (1) person from the members with the recent top margin cash balance shall be appointed for each subparagraph of [§3(2)].

(3) The term of office of the Council member noted in paragraph (2)3 shall be two (2) years and may be extended one (1) year twice when his/her term of office is terminated. However, the term of office expires in the event of loss of the position in his/her company.

(4) The chairperson of the Council shall be a member under paragraph (2)1.

(5) The chairperson of the Council shall represent the Council, presides over the meetings, and oversees the work of the Council.

(6) The team leader in charge of relevant tasks within the management department shall be the secretary to manage the affairs of the Council.

(7) In principle, the meeting of the Council shall be held once a quarter, but if the chairperson deems it necessary, the chairperson shall convene it separately.

(8) Other matters not stipulated in this Guideline in relation to the composition and operation of the Council shall be determined by the President.

Section 2. General Operation

§5. General Operation Amount

(1) The general operating amount shall be the remaining amount excluding the amount determined for the special operation from the margin cash by a member's property and customer's property of member by currency . (Amended on December 16, 2022)

(2) Notwithstanding paragraph (1), if necessary, the management department may temporarily operate profits, etc. from the special operation in the general operation method.

§6. Methods of General Operation

(1) The general operation shall be conducted by depositing the margin cash in time deposits with a maturity of six (6) months or less with settlement banks or securities finance companies.

(2) In the case of depositing the margin cash in time deposit products pursuant to paragraph (1), the management department shall select a management institution through a competitive bidding after receiving deposit proposals on interest rates, classification of member's property and customer's property, etc. from financial institutions. (Amended on December 16, 2022)

(3) The management department may transfer the margin cash deposited between settlement banks when it is necessary to transfer between settlement banks due to concerns about liquidity or concentration of deposits of a specific operating institution for the management of margin cash.

Section 3. Special Operation

§7. Special Operation Amount

(1) The amount of special operation shall be the amount determined by the management department within the limit of the lesser of the following amounts after separating members' assets and customers' assets by each currency according to the classification of each subparagraph of [§3(2)]: (Amended on December 27, 2021)

1. An amount equivalent to 80 percent of the smallest daily margin cash deposit for the preceding 6 months, counting from the month immediately preceding the last month of each quarter; and
2. An amount equivalent to 70 percent of the daily average margin cash deposit for the preceding six months, counting from the month immediately preceding the last month of each quarter.

(2) In the case where the amount of the special operation limit in paragraph (1) is 80 percent or more but not more than 120 percent of the special operation amount of the immediately preceding quarter, the special operation amount of the immediately preceding quarter may be maintained and managed.

§8. Methods of Special Operation

(1) The special operation shall be conducted by the methods in each of the following subparagraphs: (Amended on July 11, 2023)

1. Purchasing government bonds, municipal bonds, or monetary stabilization bonds of the Bank of Korea under Article 69 of the Bank of Korea Act;
2. [Deleted on July 11, 2023]

3. Lending to or depositing in securities finance companies; and
4. Depositing in settlement banks.

(2) The amount operated by the methods under subparagraphs 1 of paragraph (1) shall not exceed 50 percent of the special operation amount pursuant to 7(1). (Amended on July 11, 2023)

(3) In the case of depositing the margin cash in time deposit products of settlement banks or securities finance companies, the special management department shall select a management institution through a competitive bidding after receiving deposit proposals on interest rates, segregation between members' property and customers' property, etc. from financial institutions. (Amended on December 27, 2021)

(4) The special management department may deposit a certain amount of money in financial instruments that allow deposits and withdrawals at any time for the purpose of paying and receiving the special operation amount and handling of profits resulting from the special operation.

§9. Procedures of Special Operation

(1) The management department shall notify the special operation department and the CCP risk management department of the special operation amount under [§7(1)] by no later than eight (8) trading days (referring to the business day in the case of the OTC member margins; the same hereinafter) before the last trading day of each quarter. However, if the liquidity of the margin cash is insufficient or is expected to be insufficient, the previously notified special operation amount may be changed and notified again.

(2) The special operation department shall establish an operation plan that includes the instruments and methods for operation within the amount notified pursuant to paragraph (1) and implement it in consultation with the management department and the CCP risk management department.

§10. Request of Suspension of Special Operation

(1) In case where the liquidity of properties acquired by depositing the margin cash is insufficient or expected to be insufficient, the CCP risk management department may request the special operation department to suspend all or part of the special operation in consultation with the special operation department and the management department.

(2) The special operation department shall suspend the special operation without delay when it receives a request for suspension pursuant to paragraph (1). In this case, expenses incurred due to the suspension of special operation shall be covered by the operating profits.

CHAPTER III. ALLOCATION OF PROFITS AND COLLECTION OF EXPENSES

§11. Calculation of Profits

(1) The operating profits shall be the profits received by the Exchange during the quarter for each margin cash noted in [§3(2)] based on the accrual date of profits. In such case, for discount bonds for which interests are paid in advance from among the operation instruments under [§8(1)1 through 3], the maturity date or the disposition date shall be deemed to be the accrual date of profits. (Amended on December 27, 2021)

(2) Corporate tax or local income tax withheld from the operating profits shall be paid pro rata to each member when they are refunded. In such case, the provision of [§12] shall apply mutatis mutandis to the allocation of the refunded withholding tax amount.

(3) The special operation department shall notify the management department of the information on the profits accrued from the special operation such as operation period, amount and details of the withholding tax thereof, etc., along with the status of margin cash operation on a quarterly basis.

(4) The special operation department shall deposit the operating profits in the general operation account designated by the management department.

§12. Pro Rata Allocation of Profits

(1) The operating profits pursuant to [§11(1)] shall be allocated pro rata to each member according to the cumulative amount (cumulative amount of daily balance of margin cash deposited) of a member during the concerned operating period. In such case, in the case of the operating profits accrued from OTC derivatives member margin cash, “member” shall be construed as “clearing account”; the same hereinafter in this Article). (Amended on December 27, 2021)

(2) The pro rata allocation of profits for each member pursuant to paragraph (1) shall be conducted based on the cumulative amount calculated for each the member’s property and the customer’s property by currency according to each subparagraph of [§3(2)]. In such case, for the operating profits of customers’ properties in the OTC derivatives member margin cash, the cumulative amount shall be calculated for the pro rata payment for each customer.

(3) The pro rata allocation amount of each member shall be the aggregate of the amount calculated by multiplying the amount of operating profits per operating product by the cumulative amount ratio of each member (rounded to zero decimal places) during the concerned operating period. In such case, the cumulative amount ratio shall be obtained by dividing the cumulative amount pursuant to paragraph (2) by the total cumulative amount of all members (rounded off below the 15th decimal place). (Amended on December 27, 2021)

(4) In the event that the total amount of profits allocated pro rata to each member is not the same as the total amount of the operating profits, KRW 1 shall be deducted (or added) from (or to) the allocated profit of each member in turn, starting from the member with the largest allocation amount by the time when the two amounts become equal. (Amended on December 27, 2021)

§13. Payment of Profits and Notification thereof

(1) The amount of profit paid for each member shall be the amount obtained by deducting the operating expenses pursuant to [§14] from the pro rata allocation profit calculated pursuant to [§12]. In such case, the profit payment shall be made by including the profit in the margin cash according to the classification of [§12(2)] within 20 days from the first day of the quarter following the accrual of profit.

(2) The timing of including the profit in the margin cash pursuant to paragraph (1) may be adjusted for the convenience of members' accounting works, etc.

(3) The matters relating to pro rata allocation of profits, withholding tax, operating expenses, etc. shall be notified to the relevant members by putting them into the Member Derivative System Terminal or Member Derivative System through the Exchange Derivative System or using other methods.

§14. Calculation of Operating Expenses

(1) The operating expense for each member shall be the value (decimal points are rounded off) obtained by multiplying the amount of profit allocated pro rata for each member pursuant to [§12] by the application rate specified in [Annex 1]. Provided that, the application rate shall be zero (0) in the case of a currency, which is a margin cash under the general operation, operated only in financial instruments that allow the deposit and withdrawal at any time.

(2) The President may reduce operating expenses (reduction rate shall be within 50%) or set a different application rate in [Annex 1] in consideration of market conditions and rate of return.

§15. Calculation of Custody Expenses

(1) The custody expenses shall be calculated for foreign currency margin cash to which a negative interest rate (referring to the interest rate in the cases where the relevant deposit product for each currency is below zero (0) percent; the same hereinafter) applies. In such case, the date on which the settlement bank applied a negative interest rate to the foreign currency margin cash deposited shall be deemed the date of incurrence of the expenses.

(2) The custody expenses shall be expenses incurred during the quarter and be an amount billed by the settlement bank.

(3) The amount of custody expenses shall be allocated pro rata for each of proprietary account and customer account of a member, and the amount of custody expense for each member shall be the sum of daily expenses (rounded down to decimal places) calculated by multiplying the deposit balance on the date of expense incurrence by the application rate. In such case, the custody expenses incurred from the OTC derivatives member margin cash shall be allocated pro rata for each clearing account.

(4) The application rate (rounded to the fourth decimal place) noted in paragraph (3) shall be determined in consultation with the settlement banks considering the negative interest rates of each foreign currency, deposit insurance premium, settlement bank's OTC swap operation expenses, etc.

§16. Collection of Custody Expenses and Notification thereof

(1) The collection of custody expense pursuant to [§15(3)] shall be made by deducting from the foreign currency margin cash of each member according to the classification of [§12(2)] within 20 days from the first day of the quarter following the incurrence of custody expense.

(2) The timing of deducting the custody expense from the margin cash pursuant to paragraph (1) may be adjusted for the convenience of settlement bank and members' accounting works, etc.

(3) The matters relating to expense collection such as calculation of custody expenses, deduction details and custody expense rates to apply for the next quarter, etc. shall be notified to the relevant member by putting them into the Member Derivatives System Terminal or Member Derivatives System through the Exchange Derivatives System or using other methods.

§17. Settlement for Withdrawing Members, etc.

(1) When a member withdraws its membership (including a case where a clearing member converts into a non-clearing member), the margin cash deposited shall be returned to the member concerned without delay.

(2) The operating profit accrued from the margin cash of a withdrawing member shall be paid according to the period stipulated in [§13(1)] after deducting the operating expenses. However, in cases where it is impossible to make the payment of profits due to the extinction of corporate personality, etc., the profits shall be added to other members' profits allocated pro rata.

(3) In cases where the custody expense pursuant to [§15] incurs, it shall be collected on the date of withdrawal or conversion of the membership or on the date of withdrawal of the relevant member margin cash. In such case, [§16] shall apply mutatis mutandis to the collection method.

(4) The profits and expenses of a member withdrawing due to a merger, spin-off, merger after spin-off, or business transfer (hereinafter referred to as “merger, etc.”) shall be succeeded by the legal entity that is newly established or survives after the merger, etc.

ADDENDUM

(Regulation No. 749 / September 30, 2021)

This Guideline shall become effective on October 1, 2021.

ADDENDUM

(Regulation No. 758 / December 27, 2021)

/§1. Effective Date

This Guideline shall become effective on December 28, 2021.

§2. Exceptions in Applying Provisions Concerning Determination of Special Operation Amount

(1) Notwithstanding the amended provision of [§7(1)], the special operation amount operated in accordance with the previous provision at the time when this Guideline becomes effective shall be deemed as the special operation amount under the previous provision until the end of the operation period of the concerned operation product.

(2) In the case of determining the special operation amount pursuant to the amended provision of [§7(1)], after calculating the special operation amount in paragraph (1) pro rata according to the ratio of the special management limit of the proprietary assets and the customer's assets of the members calculated pursuant to the same amended provision, the relevant amount shall be deducted from the special operation amount of the members' assets and the customers' assets, respectively.

ADDENDUM

(Regulation No. 805 / December 16, 2022)

This Guideline shall become effective on December 16, 2028.

ADDENDUM

(Regulation No. 824 / March 24, 2023)

§1. Effective Date

This Guideline shall become effective on March 27, 2023.

§2. Applicable Case Concerning Calculating Operation Expenses

The amended provision in [Annex 1] shall apply from the time of calculating operating expenses for operating profits generated after January 1, 2023.

ADDENDUM

(Regulation No. 844 / July 11, 2023)

This Guideline shall become effective on July 17, 2023.

ADDENDUM

(Regulation No. 924 / February 27, 2025)

This Guideline shall become effective on March 4, 2025.

[Annex 1] Application Rate in Calculating Member Margin Operating Expense
(Amended on March 24, 2023)

Application Rate in Calculating Member Margin Operating Expense
(Pertaining to [§14])

Application Rate	
In KRW	In foreign currency
12%	12%